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AI Governance Diagnostic Report

Northbridge Borough Council (fictional)

Local Government (UK) · Engagement ref CLR-C7F3F73A · 16 October 2026

HIGH RISK

Confidential · Not for distribution
Engine v1.6 · Library v1.9.8

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Organisation	Northbridge Borough Council (fictional)	**Engine version**	v1.6 · Library v1.9.8
Sector	Local Government (UK)	**Active layers**	core, gdpr, uk_local_gov

HIGH RISK: 12 governance gaps identified. 0 Critical · 9 High · 3 Medium

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
0	9	3	0	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This diagnostic identified 12 governance gaps across Northbridge Borough Council (fictional)'s AI deployment in the Local Government (UK) sector, spanning decision governance and audit capability, data protection and individual rights, and AI governance controls. The full findings, regulatory consequences, and remediation actions are set out in this report.

The gaps identified do not represent isolated process failures. They represent the absence of structural governance controls that regulators, courts, and insurers increasingly treat as baseline obligations. Where multiple gaps are present simultaneously, the risk is not additive. It is compounding. A single incident touching an ungoverned AI system will expose every gap at once.

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Gap Findings

Northbridge Borough Council (fictional) · Local Government (UK) · 16 October 2026

Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

HIGH

G03-CORE-AUDIT

Audit void

Someone affected by a decision disputes it and asks to see the record. The decision happened. The record of it did not.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · EU AI Act Art 12

HIGH

G04-CORE-ACCOUNTABILITY

Accountability gap

Something goes wrong and the question lands on one desk: who was overseeing this system? The honest answer is no one was, formally, even though someone's name sits next to it.

Regulatory obligations: UK GDPR Art 22C · DUAA 2025 · EU AI Act Art 14

HIGH

GDPR-G01-LAWFUL-BASIS

No documented lawful basis for AI data processing

An ICO investigation starts with one question: what is the lawful basis for this processing? If the answer was never written down, there is nothing to produce.

Regulatory obligations: UK GDPR Art 6 · UK GDPR Art 9 · DUAA 2025 · ICO Lawful Basis Guidance · Data Protection Act 2018

HIGH

GDPR-G04-DSR-PROCESS

No process for handling data subject rights in AI systems

Someone contests an automated decision about them, which is their right under UK GDPR. There is no process on the other end to receive that challenge, only silence.

Regulatory obligations: UK GDPR Arts 15-22 · UK GDPR Art 22C · DUAA 2025 · ICO DSR Guidance · Data Protection Act 2018 s.167

HIGH

GDPR-G05-VENDOR-DPA

No Data Processing Agreements with AI vendors

A vendor audit, or worse a breach at the vendor, raises an obvious question: what can you compel them to do? Without a DPA in place, the answer is nothing. No deletion right, no processing restriction, no indemnity.

Regulatory obligations: UK GDPR Art 28 · UK GDPR Art 32 · ICO Controller-Processor Guidance · Data Protection Act 2018

HIGH

UK-LG-G01-ATRS-TRANSPARENCY

No published transparency record for AI systems that influence decisions or interact with the public

A citizen challenges an AI-assisted housing decision. The council cannot explain how the decision was made or produce any transparency record.

Regulatory obligations: Algorithmic Transparency Recording Standard (ATRS), mandatory for government departments and frontline arm's-length bodies; voluntary but encouraged for local government · UK GDPR Articles 13/14, information obligations covering automated decision-making · ICO Guidance on AI and Data Protection, transparency and explainability · UK GDPR Articles 22A-22D (inserted by the Data (Use and Access) Act 2025 s.80, in force 5 February 2026), information about significant automated decisions (Article 22C) · NIST AI RMF Govern 1.5, transparency and explainability of AI systems

HIGH

UK-LG-G02-EQUALITY-DUTY

No equality impact assessment for AI systems affecting citizens with protected characteristics

A scrutiny committee asks for the equality impact assessment on the housing AI system. None was conducted before or after deployment.

Regulatory obligations: Equality Act 2010 s.149, Public Sector Equality Duty: due regard to eliminating discrimination and advancing equality · ICO Guidance on AI and Data Protection (2023), fairness obligations covering protected characteristics · UK GDPR Articles 22A-22D (inserted by the Data (Use and Access) Act 2025), safeguards for significant automated decisions · Equality and Human Rights Commission statutory guidance, PSED compliance requirements · NIST AI RMF Map 2.3, bias and fairness risk identification

HIGH

UK-LG-G05-PROCUREMENT-GOVERNANCE

No AI governance requirements in procurement of AI tools for citizen services

The ICO asks for the Data Processing Agreement and ATRS record for the council's AI housing tool. The supplier was never required to provide either.

Regulatory obligations: UK GDPR Article 28, data processor obligations: councils must have Data Processing Agreements with AI suppliers · Cabinet Office ATRS, transparency requirements apply to council-deployed AI regardless of whether it is supplier-built · Equality Act 2010 s.149, PSED cannot be delegated; councils remain accountable for supplier AI equality impacts · Data (Use and Access) Act 2025 Articles 22A-22D, council responsible for safeguards even in supplier-operated AI · NIST AI RMF Govern 1.7, supply chain and third-party AI risk management

HIGH

UK-LG-G06-NAMED-ACCOUNTABILITY

No named accountable officer for AI systems used in citizen-facing decisions

The Local Government and Social Care Ombudsman asks who is accountable for the AI system that made the housing decision under investigation. No officer has been designated.

Regulatory obligations: Cabinet Office ATRS, responsible officer identification required in transparency record · ICO Guidance on AI and Data Protection (2023), accountability obligations for AI data controllers · MHCLG Local AI programme (2026), supports councils on safe, responsible AI use; a local government AI playbook is in development · UK GDPR Article 5(2), accountability principle: the controller must be able to demonstrate compliance · NIST AI RMF Govern 1.1, organisational accountability for AI systems

MEDIUM

G02-CORE-PROVENANCE

Provenance weakness

A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all.

Regulatory obligations: UK GDPR Art 5(1)(d) · UK GDPR Art 22C · DUAA 2025 · ICO Data Accuracy Guidance

MEDIUM

GDPR-G02-PURPOSE-LIMITATION

Personal data used by AI beyond its original collection purpose

Someone asks why their data ended up feeding an AI system they never knew existed. The honest answer is that it was collected for something else entirely, and no one checked whether feeding it to this system was still compatible with that original purpose.

Regulatory obligations: UK GDPR Art 5(1)(b) · UK GDPR Art 6 · DUAA 2025 Art 8A · ICO Purpose Limitation Guidance

MEDIUM

UK-LG-G08-PUBLIC-FACING-AI

AI interacting with residents without telling them or offering an easy route to a person

A resident spends twenty minutes with the council's chatbot, is given wrong advice about a deadline, and could not find a way to reach a person.

Regulatory obligations: UK GDPR Articles 13/14, information obligations · Equality Act 2010 s.149, Public Sector Equality Duty · ICO Guidance on AI and Data Protection, transparency · AI Playbook for the UK Government (2025), guidance on using AI lawfully, transparently and with meaningful human control

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Regulatory Obligations

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The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
UK GDPR Art 6	Lawful basis must be documented for every AI processing activity involving personal data	GAP
UK GDPR Art 22C	Human review mechanism required for automated decisions affecting individuals	GAP
UK GDPR Art 28	Data Processing Agreements required with every AI vendor processing personal data	GAP
DUAA 2025	AI-specific data rights and oversight obligations under the Data Use and Access Act	REVIEW

NEXT STEP

Your Consultancy identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

reports@clearance-diagnostic.com

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Remediation Roadmap

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One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	**G03-CORE-AUDIT** Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	**G04-CORE-ACCOUNTABILITY** Accountability gap	Have the accountable individual start an oversight log this week: date, decision reviewed, action taken or confirmed. Even a simple log converts a job title into a defensible position.	HIGH	your compliance lead
90 DAYS	**GDPR-G01-LAWFUL-BASIS** No documented lawful basis for AI data processing	Map every AI processing activity involving personal data to a specific UK GDPR Article 6 lawful basis and record it in a processing register. Complete within 30 days.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G04-DSR-PROCESS** No process for handling data subject rights in AI systems	Map every AI system holding personal data into the data subject rights response workflow. Document the Article 22C human review process. Implement the DUAA 2025 complaints mechanism.	HIGH	your Data Protection Officer
90 DAYS	**GDPR-G05-VENDOR-DPA** No Data Processing Agreements with AI vendors	Produce a register of every AI vendor processing personal data on your behalf. Execute DPAs with all of them. Until DPAs are in place, affected tools should not be used with personal data.	HIGH	your Data Protection Officer
90 DAYS	**UK-LG-G01-ATRS-TRANSPARENCY** No published transparency record for AI systems that influence decisions or interact with the public	Draft a transparency record in the ATRS format for this system and publish it. Make supplying the information a procurement requirement.	HIGH	your system architect
90 DAYS	**UK-LG-G02-EQUALITY-DUTY** No equality impact assessment for AI systems affecting citizens with protected characteristics	Conduct equality impact assessments for every AI system in citizen-facing decisions today. Document findings. Implement protected characteristic monitoring.	HIGH	your system architect
90 DAYS	**UK-LG-G05-PROCUREMENT-GOVERNANCE** No AI governance requirements in procurement of AI tools for citizen services	Update AI procurement contracts to require ATRS records, equality assessments, DPAs, and audit rights. Apply immediately to any AI tools currently under contract review or renewal.	HIGH	your compliance lead
90 DAYS	**UK-LG-G06-NAMED-ACCOUNTABILITY** No named accountable officer for AI systems used in citizen-facing decisions	Designate a named accountable officer for every AI system in citizen-facing services today. Document it in the ATRS record. Define the escalation path.	HIGH	your compliance lead
180 DAYS	**G02-CORE-PROVENANCE** Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
180 DAYS	**GDPR-G02-PURPOSE-LIMITATION** Personal data used by AI beyond its original collection purpose	Identify every AI processing activity using data beyond its original collection purpose. Complete a compatibility assessment for each under DUAA 2025 Article 8A. Update privacy notices before the next data collection cycle.	MEDIUM	your Data Protection Officer
180 DAYS	**UK-LG-G08-PUBLIC-FACING-AI** AI interacting with residents without telling them or offering an easy route to a person	Add a clear AI notice and a visible route to a person on every AI channel this month.	MEDIUM	your compliance lead

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Evidence Appendix

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ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	No	Your AI system
A written decision boundary document exists	No	Rules and boundaries
That document is version-controlled and enforced at runtime	No	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	No	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	No	Records and accountability
A named individual is personally accountable for this system	Yes	Records and accountability
An incident, near-miss, or complaint has occurred	No	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Has an equality impact assessment been conducted for this AI system covering potential effects on citizens with protected characteristics?	No	Public Sector Controls
Has a Data Protection Impact Assessment (DPIA) been completed for this AI system before deployment?	Yes	Public Sector Controls
Is a named officer designated as accountable for this AI system, with documented responsibility for its governance and performance?	No	Public Sector Controls
Has a transparency record for this AI system been published, using the Algorithmic Transparency Recording Standard (ATRS) or equivalent public information about what it does and how it is used?	No	Public Sector Controls
Is this AI system bought in or supplied by a third party, including AI features inside software you license?	Yes	Public Sector Controls
Do procurement contracts for this AI system require suppliers to meet AI governance standards (ATRS records, equality assessments, audit logs)?	No	Public Sector Controls
Does this AI system interact directly with the public, for example a chatbot, an AI-assisted contact centre, or automatically drafted letters and emails?	Yes	Public Sector Controls
Are people told when they are dealing with AI, and can they easily reach a person at any point?	No	Public Sector Controls

ASSESSMENT INTEGRITY

Organisation: Northbridge Borough Council (fictional)
Sector: Local Government (UK)
Run ID: c7f3f73a-e884-441f-b6d5-e15569ecf64b
Engine version: v1.6 · **Library version:** v1.9.8
Active layers: core, gdpr, uk_local_gov
Findings hash: d85f1eada6a9f1cfe6be226e81394990dd9e95f0878dc7f8622c6c16cf96ef10
Generated: 2026-10-16T16:22:52.910364+00:00

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